COURSE

## AQA GCSE Business (8132)

# Organisational structures

**3.4 Human resources · 3.4.1 Organisational structures**

Revision for 3.4 Human resources: each firm works it out on its own deals.

Class **AQA GCSE Business (8132)** Topic **Organisational structures**

THE LESSON

| | | | | | |
|---|---|---|---|---|---|
| **Setup** | | | | | 3 min |
| **Round 1** | Decisions 3 min · Deals 5 min · Topic tasks 4 min | | | | |
| **Firm decisions** | **Deals** | TASK 1 **Too wide a span** | TASK 2 **Flatter structure** | | |
| **Round 2** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min | | | | |
| **Firm decisions** | **Deals** | TASK 3 **Chain of command** | TASK 4 **Delayering saving** | **B2B deal** | |
| **Round 3** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min | | | | |
| **Firm decisions** | **Deals** | TASK 5 **Who sets prices** | TASK 6 **Tall structure** | **B2B deal** | |
| **Final questions** | | | | | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Your sales manager leads 15 staff and has no time to coach the new ones.

**Which change would help most?**

PICK ONE

- ✔ **Add a team leader for some staff**
- ○ Move all decisions to head office
- ○ Remove the sales manager's post
- ○ Widen the span of control further

**Why:** A narrower span gives each manager time for each worker.

## Task 2

ROUND 1

You remove a layer of managers.

**Which two effects are most likely?**

PICK TWO

- ○ Closer supervision of staff
- ✔ **Lower management costs**
- ✔ **Messages travel faster**
- ○ More chances of promotion
- ○ Narrower spans of control

**Why:** Fewer layers: quicker messages and fewer managers to pay, but wider spans.

## Task 3

ROUND 2

A salesperson's idea goes up the chain of command.

**Put the route in order, first to last?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **The salesperson**
2. **The sales team leader**
3. **The branch manager**
4. **The managing director**

**Why:** The chain of command runs from the bottom of the structure to the top.

## Task 4

ROUND 2

You remove a layer of supervisors.

**Yearly saving in pay?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Supervisors removed | **5 staff** |
| Pay of each, a year | **£22,500** |
| Managers who take their staff | **3 staff** |
| Pay rise for each manager | **£3,000** |

METHOD

**Saving = supervisors × their pay − managers × pay rise**

5 × £22,500 − 3 × £3,000 = £103,500

**Why:** Delayering cuts pay costs, but each manager now leads more staff.

## Task 5

ROUND 3

Head office sets every branch's prices. One branch keeps losing sales to a cheaper local rival.

**What should you change, and why?**

PICK A OR B AND GIVE A REASON

- ○ Keep all pricing at head office
- ✔ **Let the branch set its prices**

**Why:** The manager who knows local buyers can react faster.

## Task 6

ROUND 3

Your firm has six layers, and each manager has only three staff.

**Which problem is most likely?**

PICK ONE

- ○ Managers too busy to supervise
- ✔ **Slow decisions through many layers**
- ○ Staff given too much freedom
- ○ Too few chances of promotion

**Why:** Narrow spans make a tall structure, so messages pass many people.

# Final questions

**6**
questions for each pupil

**150**
Level 2 Business questions

**1**
of them on organisational structures

**The game draws 6 of the 150 Level 2 questions; these 1 are about organisational structures.**

1 Tall means many levels; flat, few. Worked case: a six-level chain takes a week to decide a branch request. A group cuts two of five levels. Gain and cost?
**Faster decisions, but fewer promotion steps and less supervision.**